

INTRODUCTION TO SUSTAINABILITY

SUSTAINABILITY CONCEPTS

"THE
OPERATIONALIZATION OF
SUSTAINABILITY IS EVEN
TOUGHER THAN
DEFINING
SUSTAINABILITY "



IMPORTANCE OF SUSTAINABILITY INDICATORS



Better decision-making - lowering risks or costs



Identification of emerging issues - allowing prevention



Identification of impacts - allowing corrective action when needed



Performance measurement of the implementation of plans and management activities - evaluating progress in overall sustainable development



Reduced risk of planning mistakes - identifying limits and opportunities

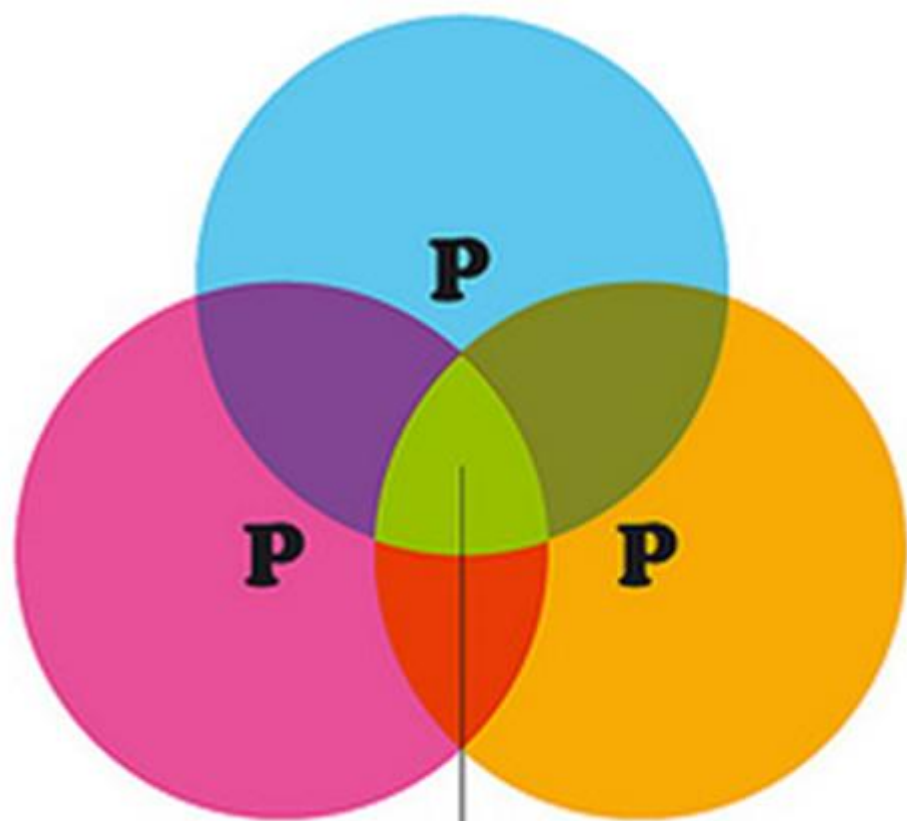
TRIPLE BOTTOM LINE (TBL)



This Photo by Unknown author is licensed under CC BY-SA-NC.

- The TBL is a planning and reporting system and decision-making framework that focuses on measuring and controlling companies' **economic, environmental and social performance**
- The TBL encompasses the 3 dimensions of **environmental, social, and economic dimensions** which are commonly referred to as the **3P's: Planet, People and Profits** as well
- The TBL was initially developed as a framework for **measuring and reporting corporate performance** beyond the single Bottom of economic profitability by adding the dimensions of environmental and socio-cultural bottom lines into the equation. However, over the years the overall agenda of the **TBL concept has evolved into a wider planning mechanism** (Mihalič, et al., 2012)

**People,
planet
and profit.**



Sustainability is the
connector of
any enterprise's
bottom line initiatives.

Sustainability

ASSUME THAT YOU ARE AN OWNER/ SENIOR MANAGER OF YOUR OWN
BUSINESS/ REPUTED COMPANY IN SRI LANKA. RATE THE LEVEL OF
IMPORTANCE AND **FOCUS** THAT YOU WILL BE PUTTING FORWARD FOR EACH
PILLAR OF THE TRIPLE BOTTOM LINE USING THE BELOW LINK:

USE LINK:

<https://www.menti.com/yzxt6bd9vu>

OR

GO TO: www.menti.com

PASSCODE: 3978 5150



NAME SOME ENVIRONMENTAL SUSTAINABILITY INITIATIVES

<https://www.menti.com/2nsmac8bi4>

OR

GO TO: www.menti.com

PASSCODE: **5357 2401**



ENVIRONMENTALLY SUSTAINABLE PRACTICES

- Use of renewable energy
- Water Conservation
- Electricity conservation
- Waste Management
- Air quality management
- Elimination/ Reduction of plastic usage
- Green purchasing
- Environmentally friendly housekeeping
- Sustainable transportation options
- Sustainable recreation options
- Environmental education
- Protection and preservation of biodiversity

NAME SOME SOCIAL SUSTAINABILITY INITIATIVES

<https://www.menti.com/hh63279ien>

OR

GO TO: www.menti.com

PASSCODE: **4128 9604**



SOCIALLY SUSTAINABLE PRACTICES

- Diversity and equality of opportunity at workplace
- Staff training and development
- Health and safety of employees
- Cultural heritage preservation
- Community commitment
- **Charitable giving**
- **Volunteerism**
- **Charity events**
- **Local event sponsorship**

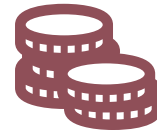
ECONOMICALLY SUSTAINABLE PRACTICES



Profit &
Revenue growth



Market growth



Market
capitalization



Fair trade



Legal
compliance

LIMITATIONS OF TBL APPROACH

- The first limitation of the TBL approach revolves around **social measurement**. Some sectors and industries are unique, and social performance can only be understood if a certain level of alignment to the issues and problems present in that industry context is mapped out
- The second limitation found in the TBL approach is a **lack of ability to aggregate the results across the three principles of TBL**. Firstly, TBL offers no means of prioritizing among the requirements of different stakeholder groups. Secondly, it provides no method or formula in its framework that can aggregate across the TBL principles
- The third limitation found in the TBL approach is the **lack of integration**. Firstly, the integration between the three dimensions of TBL will be hard as people are trained to be experts in each of the three dimensions and not across all of them (Sridhar & Jones, 2013)

CORPORATE SOCIAL RESPONSIBILITY (CSR)

CSR is concerned with treating the stakeholders of the firm **ethically or in a responsible** manner. 'Ethically or responsible' means **treating stakeholders in a manner deemed acceptable** in civilized societies. Social includes economic responsibility. Stakeholders exist both **within a firm and outside**. The natural environment is a stakeholder. The wider aim of social responsibility is to create higher standards of living, while **preserving the profitability** of the corporation, for peoples both within and outside the corporation

UNDERSTANDING BUSINESS PRIORITIES

<https://www.menti.com/x8jaqrsj94>

OR

GO TO: www.menti.com

PASS-CODE: 6417 9265



Figure 2. Carroll's Pyramid.

Carroll proposed dividing CSR into four tiers of responsibilities which were ordered according to priority from bottom to top for socially responsible behaviour or activity. His categories of activity ascended from the foundations of economic obligation, to legal, through ethical to philanthropic obligations at the apex. Basically, Carroll argued that a **firm has to be financially viable as a first responsibility** or it could not exist at all and make no further contribution.

SUSTAINABILITY VS CSR

SUSTAINABILITY

- Economic, social, and environmental pillars are **interconnected**
- Social, environmental, and economic responsibilities are complementary—the three elements must be **integrated** to achieve perfection
- Targets the **whole value chain** and a broad stakeholder base

CORPORATE SOCIAL RESPONSIBILITY

- Treats social and economic performance as **independent** components
- **Supplements** the primary fundamental responsibility of businesses—economic prosperity
- Tends to target **opinion formers** – Stakeholders that play a role in the business

STAKEHOLDER THEORY

- Stakeholder theory is basically about **how a business works at its best**, and how it could work. It is about value creation and how to manage a business effectively.
- Stakeholder theory identifies a set of **relationships** between customers, suppliers, communities, employees, shareholders or any other party that has an active interest on a given business



ROLE OF STAKEHOLDERS IN ACHIEVING SUSTAINABILITY

<https://www.menti.com/4h88q62cdw>

OR

GO TO: www.menti.com

PASS-CODE: 6961 2065

STAKEHOLDER THEORY IN SUSTAINABILITY CONTEXT



Stakeholder theory expands the scope to a broader societal embeddedness of organizations and its interdependencies with the societal environment



Similarly, corporate sustainability emphasize the interdependencies between the organization and its societal and natural environment

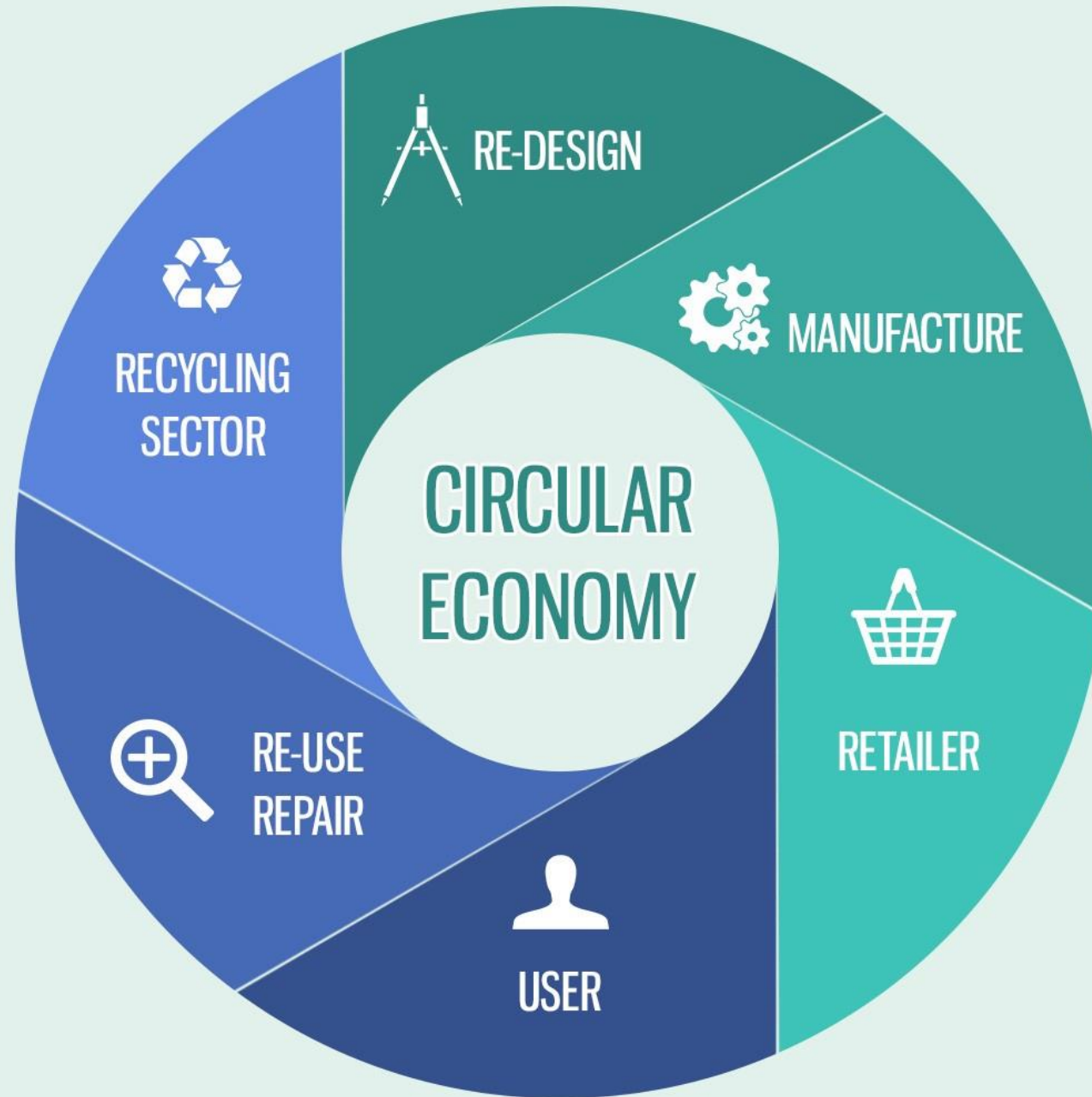


Both concepts extend the view beyond maximizing short-term shareholder value or accounting-based profits and share a broader understanding of the embeddedness, dependencies, obligations, abilities, and possibilities of companies



CIRCULAR ECONOMY

- Circular economy can be defined as a regenerative system in which resource input and waste, emission, and energy leakage are minimised by slowing, closing, and narrowing material and energy loops. This can be achieved through **long-lasting design, maintenance, repair, reuse, remanufacturing, refurbishing, and recycling**
- The core of the Circular Economy is the circular (closed) flow of materials and the use of raw materials and energy through multiple phases
- Circular economy is also referred to as a **'loop economy'**



CIRCULAR ECONOMY



The circular economy is a new and inclusive economic paradigm, that aims to minimize pollution and waste, extend product lifecycles and enable broad sharing of physical and natural assets.



A circular economy aims to design out waste. Waste does not exist: products are designed and optimized for a cycle of disassembly and reuse



The circular economy doesn't aim to end growth; it aims to bend how we do things back into harmony with nature, so that growth can continue. It aims at achieving **prosperity in a world of finite resources**.

SUSTAINABILITY & CIRCULAR ECONOMY

SUSTAINABILITY

- Priorotizes on the Triple Bottom Line
- Aims to benefit 3P's/ TBL
- Open ended, varies with stakeholders
- Tries to 'sustain' the current status **indefinitely**

CIRCULAR ECONOMY

- Priorotizes on the economy
- Aims to benefit economy & environment
- Closed loop. Aim is to prevent any leakages from the system
- Consists of input and leakage thresholds

SMART ECONOMY

- Smart Economy is defined as the main base of **urban development** in a smart community. This model is based on a series of concepts to promote development and achieve sustainability. The main areas of consideration in a Smart Economy are: **e-business, e-commerce, increase of productivity, innovation and new product development.**
- The hall mark of a smart economy is smart cities. A smart city refers to any city that uses ICT to **improve operational efficiency, information sharing** with the public and provide a better quality of service and welfare. The value lies in **how this technology is used rather than simply how much technology is available.**



This Photo by Unknown author is licensed under CC BY-NC-ND.

SMART ECONOMY - FOCUS AREAS

Entrepreneurship, Productivity & Competitiveness: urban organization that fosters new entrepreneurial initiatives, an increase of competitiveness and high productivity in communities with the aim of improving the quality of life

Research and Development : offer solutions which can be adopted by other cities, and thus obtain a return on investment through the creation of innovative services

Tourism promotion and Internationalization: Allowing the city to go international and attract prospective tourists

Training: training of the community, their personal development and the fostering their creative ability.

SMART CITY – FOCUS AREAS

An infrastructure
based around
technology

Environmental
initiatives

Effective and
highly functional
public
transportation

Confident and
progressive city
plans

People able to live
and work within
the city, using its
resources

SMART CITY

